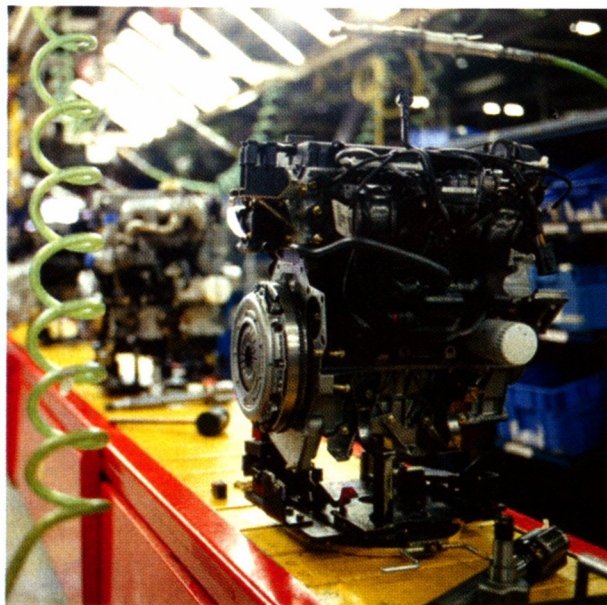


A to Z of Automobiles



The entry of foreign automobile manufacturers ranging from Mercedes Benz, Ford, and General Motors to Daewoo following the government liberalizing the foreign investment limits saw the beginning of the third phase of the evolution of the industry.

The auto ancillary industry witnessed huge capacity expansions and modernization initiatives in the post liberalization period. Technological collaborations and equity partnerships with world leaders in auto components became a common affair. However, the global automobile majors soon realized the folly of their estimations in India. The market did not seem to be as big as it appeared to be. Hence, sales targets went awry. The tough competitive scenario saw a lot of consolidation in the industry and it still continues unabated.

Moreover, the liberalization steps, such as, relaxation of the foreign exchange and equity regulations, reduction of tariffs on imports, and refining the banking policies, initiated by the Government of India, have played an equally important role in bringing the Indian Automotive industry to great heights. It is estimated that the sale of passenger cars have tripled compared to their sale in the last five years. Thus, the sale of cars has reached a figure of 1 million users and is expected to increase further. It's also to be noted

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that the demand for luxurious models, SUVs, and mini-cars for family owners, have shot up, largely due to increase in the consumer's buying capacity.

The increased demand for Indian automobiles has resulted in a large number of multi-national auto companies, especially from Japan, U. S. A., and Europe, entering the Indian market and working in collaboration with the Indian firms. Also, the institutionalization of automobile finance has

Indian Automobile sector is high on growth trajectory. And is expected to touch 10 million mark of which Commercial Vehicle Segment will contribute the maximum.

further paved the way to sustain a long-term high growth for the industry.

In the 1990s, economic liberalization allowed foreign automakers such as Hyundai, Ford, Toyota and GM set up base in India. The local component manufacturers did not have the requisite size, technology or quality to meet the needs of these international carmakers. On the other hand, the high import tariffs and price sensitiveness of the Indian car buyer made it unviable for these companies to import components from their global suppliers. Therefore, the carmakers had to

